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CABINET 32

FORMOSA

MEMORANDUM BY THE SECRETARY OF STATE FOR FOREIGN AFFAIRS

My colleagues will have shared my preoccupation over developments in connexion with Formosa. I have been steadily urging on the United States Government the need for moderation ever since President Truman made his statement on 27th June. It is, I think, the case that the State Department are alive to the dangers of the situation and on more than one occasion they have assured us that their object was the neutralisation of the island. The President's message to Congress of 19th July went some way in trying to repair the damage done by the earlier statement. Unfortunately, the waters have been muddied by the activities of General MacArthur and the Chinese Nationalists. Nevertheless, on 10th August, when His Majesty's Ambassador in Washington asked about United States policy in Formosa in the light of recent developments, he was assured that there had been no change and that the policy of putting Formosa " on ice " held firm without qualification. At that time, the State Department promised to furnish a memorandum setting out their views on the issues involved in the disposal of Formosa.

2. This memorandum has since been received. Its main points are:—

(*a*) The United States Government's decision of 27th June was dictated by military necessity.

(*b*) The United States Government consider it desirable to put the long range political problem of Formosa " on ice " and hope that the United Kingdom will agree on the immediate need for a military standstill.

(*c*) The United States disclaim any designs on Formosa and any intention of using the island as a base for operations against the mainland.

(*d*) Nevertheless, although the United States Government are anxious to avoid becoming involved in any way in general operations against China, if the Chinese Communists were to attack Formosa or intervene in Korea, the desire of the United States to avoid taking action against the mainland would have to be reviewed.

(*e*) If the Communists were to attack Formosa, the United States would have to consider supplying arms to the Chinese Nationalists.

(*f*) The United States recognise that the unilateral character of their action is unsatisfactory and ask for His Majesty's Government's views on the whole question.

3. There is unfortunately no clear cut solution of this complex problem and our endeavour must be to find a formula which seems likely to command the widest possible measure of support among members of the United Nations, particularly the Asian members. Some of the considerations behind the Formosan problem and some possible courses of action are set out in the attached memorandum. They all raise difficulties, and I think we should be unwise at this stage to take any final view. The immediate objective is to arrive at a policy which will command general support.

4. I consider it essential that in the first place, we should try to reach common ground with the Americans. If we can do so, we can make a start, and on my instructions Sir Oliver Franks has already begun discussions with the State Department on the lines of the attached memorandum. His discussions have so

far been with Dr. Jessup and other members of the State Department. He reports that he has emphasised the broad considerations governing the Formosan problem as stated in the attached memorandum, and has argued in particular for the course of action outlined in paragraph 15. He had a friendly reception and considers that he has made progress. He expects to pursue the discussions with Mr. Acheson,

5. It is too early to say how the talks with the Americans will go, but if we can reach common ground, I hope it will soon be possible to bring in the Commonwealth and certain other Powers including France. The problem is in any case on the Agenda for the forthcoming Tripartite Meeting of Ministers in New York.

E. B.

Foreign Office. S.W. 1.
31st August. 1950.

ANNEX

FORMOSA

The problem of Formosa is difficult, delicate and potentially very dangerous. The unanimity which prevails in the United Nations in regard to Korea does not exist over Formosa. Were the Central People's Government to attack Formosa, they would probably meet with no such wide measure of condemnation in the United Nations as did the North Koreans; indeed, it might be difficult to secure a majority to endorse an effective resolution condemning such an attack.

2. In these circumstances, the objective should be to endeavour to find some formula to which the Western Powers, Asia and the great majority of the United Nations would be prepared to give their endorsement. The solution should, if possible, be such that a large majority of the United Nations would be prepared to condemn any action taken in conflict with it. If such a solution can be found, it is to be hoped that it would act as a deterrent to Communist China and thus avert any attempt to seek a solution of the Formosan problem by force. Various possible solutions are explored below.

3. So long as the fighting goes on in Korea, and the Chinese Communists maintain their present attitude towards the United States in particular and the United Nations in general, any proposal involving the early transfer of Formosa to the Central People's Government is clearly out of the question. In any case, as long as the Nationalist forces in Formosa remain in being, the Central People's Government could only obtain possession of Formosa as the result of an armed attack. Even in the absence of the declared intention of the United States Government to neutralise Formosa, attack by the Central People's Government could not have failed to increase the tension in the Pacific area to a dangerous pitch. The Communist seizure of Formosa now, especially in the light of recent developments, would enhance the prestige of Communist forces all over Asia, and particularly in Malaya. The effect on waverers all over South-East Asia, specially in the overseas Chinese communities, would probably be serious. Indeed, Communist morale would be heightened and the will to resist communism in Asia weakened.

4. On the other hand, it must be borne in mind that in the eyes of all Chinese, whether supporters of the Central People's Government or not, Formosa belongs to China. It was Chinese before it was ceded to Japan by the Treaty of Shimonoscki after the Sino-Japanese War of 1894-95. The Cairo Declaration, reaffirmed at Potsdam, announced that it would be restored to China; and the island was allowed to pass under Chinese administration after the Japanese surrender. To assert that the Government now effectively installed on the Chinese mainland has no right to administer Formosa because the island is still *de jure* a part of Japan, is likely to be regarded by all Chinese, except the adherents of Chiang Kai-Shek, as specious quibbling indulged in for ulterior motives. Unfortunately, not only the Chinese themselves but a substantial body of opinion in Asia, and possibly indeed in the West also, may well take a similar view. To argue

that the people of Formosa should be allowed to determine their own future might command some support from other Powers, but it would be disliked by all Chinese, whether Nationalist or Communist, since it would indicate clearly an attempt to deny Formosa to China for all time.

5. For the United Kingdom and the United States there is a particular commitment in the matter of Formosa because of the Cairo Declaration. It might be possible to argue that the reference to Formosa in that declaration is no longer binding because the circumstances have changed. But this would raise an important question of principle apart from which the wisdom of repudiating wartime undertakings is doubtful. If the Cairo Declaration is denounced, why not also the Livadia or Potsdam agreements? Since the Russians are in physical possession of what they got out of Livadia, it would serve no purpose to denounce that agreement. If we denounced the Cairo Declaration we might be accused of trying to take from the weak what they have not yet got, while conceding to the strong possessions to which they have rather less title than China has to Formosa. It would be difficult for the world to reach any other conclusion than that the Cairo Declaration signified an intention to restore Formosa to China and not to a particular Government of China. The fact that China no longer has a Government friendly to the United Kingdom and the United States would not be regarded as affecting the declared purpose or weakening China's title. It could, however, quite reasonably be argued that the fact that Formosa's legal status is still Japanese territory does in the circumstances affect the right of the Peking Government to occupy it by force.

6. Subject to this last point, any solution which appeared to ignore China's title to Formosa would never be accepted by the Chinese people and Formosa would remain the object of irredentist ambitions and be a constant source of friction between China and the West. The Chinese might well be supported in their irredentism by Asian opinion and by a considerable body of world opinion. They would be thrown even more irrevocably into the arms of the Soviet Union since the Russians could claim to be the only people who supported the legitimate nationalist aspirations of China. Furthermore, since it is a declared aim of the Chinese Government to recover Formosa and is likely to remain so for the foreseeable future, there is little prospect that the position could be stabilised. Formosa could only be withheld from the Central People's Government for as long as substantial forces were available for its defence. As far as can be foreseen, the commitment would be heavy and indefinite in duration.

7. The first essential at the moment is that there should be no disturbance of the peace; and the endeavours of the Indian Government to exercise influence in this direction in Peking are to be welcomed. It is in the general interest that Formosa should be neutratised if this can be successfully achieved. However, so far neutralisation is a purely American policy and, with its implications of support for Chiang Kai-Shek, it is already being represented as interference in the Chinese Civil War and as support for a corrupt and bankrupt *émigré* regime. Since the United States Government themselves condemned this regime in their White Paper of July 1949, their continued support of Chiang Kai-Shek gives rise to the suspicion, in spite of assuraaces to the contrary, that the United States intend to determine the future of Formosa unilaterally. It is therefore necessary to emphasise and clarify the limited purposes of the policy of neutralisation and to endeavour to obtain for it a wider measure of support. It is considered that further public declarations by the United States would be unlikely to achieve this purpose and might only serve to emphasise the unilateral nature of the action already taken. It seems unlikely that anything short of the United Nations support would serve the purpose. While Russia would of course oppose any move to obtain such support, it might be possible to rally world opinion on Formosa provided that the susceptibilities of Asian countries were taken into account. Though Formosa can be claimed to be a Pacific as well as an Asian problem, anything which savours of an attempt by the West to arrange the destinies of the East is bound to meet with opposition.

8. Any wide measure of United Nations support over Formosa might be difficult to obtain for a solution which ignored China's eventual rights in the matter. It seems most unlikely that widespread support would be forthcoming for a policy which merely seemed to be guaranteeing Chiang Kai-Shek in power.

It is unrealistic to expect that the Chinese Communists would ever be reconciled to a policy of neutralisation, but provided that it was made clear that their rights would be taken into account in the eventual settlement, their case for immediate action would be weakened. If they are prepared to start a general war on Russian instigation, nothing will deter them. But it seems likely that they do not want war and they should therefore be made to realise the grave consequences of an attack on Formosa. A broad measure of United Nations support for a policy of present neutralisation of Formosa might well serve as a strong deterrent.

9. If the neutralisation policy is to succeed and to find any wide measure of general favour, it is essential that the Nationalists should avoid provocation. The continuation of the blockade of the China coast by the Nationalists, their raids on shipping, and their dropping of leaflets over the mainland are provocative and are inconsistent with neutralisation. As matters stand at present, an impression prevails that the Nationalists are ignoring the United States injunction to refrain from provocation and that the United States are condoning their acts. Such an impression can only increase the prevailing tension and the unwillingness of other Powers to associate themselves with the United States in neutralising Formosa.

10. If the approval of the United Nations to a policy of neutralisation is to be sought, members can hardly be excluded from considering the long-term settlement and hence debating an issue which could not (in the absence of special arrangements) become actual until a peace settlement with Japan. Indeed, it is considered that there is no possibility of obtaining wide support for a neutralisation policy in the absence of a clarification of longer-term intentions. But although Formosa will remain legally Japanese territory until it is formally detached from Japan by a Treaty of Peace (or some instrument with similar effect), the actual disposition of the ceded territories is not necessarily a subject for exclusive decision by the peace-making Powers. The main territorial article in the Japanese Peace Treaty may well, indeed, merely limit Japanese sovereignty to certain specified islands.

11. One possible long-term solution that has been suggested is the holding of a plebiscite to determine whether the Formosans wish—

(*a*) to become independent;
(*b*) to continue under Chinese Nationalist rule; or
(*c*) to be administered by the Central People's Government.

The justification for thus deviating from the Cairo Declaration would be that at the time the Declaration was made the views of the people of Formosa were not taken into account and that, in the changed conditions, they should now be given an opportunity to register their opinion. If it were possible to hold an entirely impartial plebiscite, the result might well be that the Formosans would opt for independence. Such a solution would, of course, be permanently resented by the Chinese and might possibly have a dubious response from certain other Asian nations. It is doubtful whether the Formosans are ready for self-Government. There might, therefore, have to be a period of trusteeship before a reasonably efficient and representative native Formosan Government could be established.

12. If this solution were pursued, the course of events might be either—

(*a*) an early decision by the United Nations to set up some form of trusteeship in Formosa with a view to the holding of a plebiscite either at a specified future date or when the administering authority considered that the Formosans were ready for self-Government; or
(*b*) a United Nations decision to hold a plebiscite at an early date which might perhaps necessitate the establishment of a trusteeship for a period, should the Formosans opt for independence.

A trusteeship for Formosa combined with an eventual plebiscite has the attraction that the people could choose their own Government, and that a return to China would not be excluded if they so wished. At first sight such a course might appeal to many nations. The proposal, however, bristles with difficulties. Hostile propaganda would represent it as manifestly designed to evade a clear undertaking by the Allied Powers to return Formosa to China. The Chinese Nationalist themselves would bitterly resent it. If it were decided to follow course (*b*) above, it is in any case doubtful whether it would prove possible to hold a fair and effective plebiscite

to decide Formosa's future as long as the Chinese Nationalists remained in control of the island. For this reason course to) would seem preferable. The choice of the administering authority, in the event of a period of trusteeship, would present a difficult problem. The Charter makes provision for the United Nations itself to be the authority. At first sight this solution appears unwieldy and impracticable, but this need not necessarily be the case. After its initial troubles U.N.R.R.A., for example, did a very difficult and complicated job, and an administration drawn from many nationalities, specially if it included a number of Asian representatives, might be a useful body. More difficult is the fact that administration might involve a large financial commitment at any rate for some time to come. Since the continuing hostility of the Central People's Government to any trusteeship can be assumed, some provision would have to be made for defence. Here again there would be the question of finance, as well as of the provision of forces, and the difficulties would be formidable.

13. There could be no prospect of an impartial plebiscite in Formosa as long as Chiang Kai-Shek and his forces remained in control and received the support of a majority of the United Nations. The repudiation of Chiang Kai-Shek and either the elimination or neutralisation of his forces would therefore seem to be an essential prerequisite, and it is not easy to see how the latter steps would be effected.

14. If a trusteeship became practieal polities the question would arise as to who the trustee Power or Powers should be, and in the latter case whether China could be one of them. In the circumstances it would clearly be desirable that the Western Powers should not predominate. India would be an obvious choice as one of the trustee Powers, but in view of her relations with China, it is doubtful whether she would consent to participate.

15. Another possible course of action which would hold the present position and deal with the long term to some extent might be the adoption of a resolution by the General Assembly (to avoid a Soviet veto in the Security Council) which would—

(*a*) recommend that Formosa should in due course revert to China;
(*b*) propose that any action to this end should await the pacification of the Pacific arca and that in the meantime no action should be taken by anybody to disturb the *status quo* or use the island as a base;
(*c*) establish a Commission to recommend when the moment was ripe for the hand-over, and the conditions under which it should take place.

This would have the advantage that it would not mean abandoning the Cairo Declaration. It might—though this is doubtful—save the Central People's Government s face sufficiently to enable them to hold off. It would also enable a hand-over to be held up until the Communists gave some signs as to their future behaviour in international affairs.

16. It would be unwise to minimise the danger that discussion of Formosa in the United Nations might merely bring existing differences between democratic Powers to a head and fail to lead to any broad measure of agreement. Such a situation would be greatly to the advantage of the Soviet Union and would provide them with excellent opportunities for mischief-making. These risks might be minimised by prior discussions with the Powers most concerned and it is considered that if the United Kingdom and United States can reach broad agreement, it would be essential, before any measures were introduced into the United Nations, that the United Kingdom should discuss the problem with the Commonwealth. It would also be necessary to discuss the problem with France and other friendly Powers. It is in any case not considered practical to put the Formosan problem into political as well as military cold storage. Unless broad agreement can be reached among friendly Powers, Formosa may well become a septic focus tending to poison relations between the democracies. It may not be necessary at this stage to reach any firm and detailed decisions regarding the future of Formosa. It is none the less urgently desirable that there should be broad agreement amongst the democratic Powers as to general objectives. As a first step it might be desirable to explore further the possible courses outlined above, taking into account the interests and susceptibilities of the friendly Powers principally concerned.

Foreign Office. S.W. 1.